

Long-Term Holds Report - Monday, August 24, 2026

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**Rep

1. Executive Summary

Macro backdrop: History Rhymes identifies a 1999-2000 / 2007 / 1960s-70s composite. Shiller CAPE is near 42 (top 1% historically), top-10 S&P concentration is 36-40%, and AI capex intensity is unprecedented. Treasury buybacks last week provided short-term rate relief, but Iran sanctions and energy-price stress keep geopolitical risk embedded.

Portfolio real-return goal: Beat CPI + 3% alpha (target >7% real annually). With CPI sticky around 3.0-3.5%, the minimum nominal hurdle is ~6.5-7%.

Top 3 conviction holds this week:

1. **A

New entry signal: None. No fresh multi-manager accumulation emerged this week; conditions favor hold-and-wait.

New exit/downgrade: **INTC** remains on REVIEW/TRIM after the Tepper exit pattern. No new downgrade this week.

Cash allocation: Maintain 10-15% dry powder. Current macro fragility (CAPE extreme, geopolitical risk, bond-yield volatility) makes overpaying a bigger risk than holding cash.

2. Tier 1: Core Holdings (70% target)

Asset	Manager(s)	Entry Date	Conviction	Thesis	Moat
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GOOGL	Point72, Appaloosa, Coatue, SIT	Q4 2025	HIGH	Search/YouTube/Cloud; diversified portfolio	Scale advantages, data network
SPOT	Point72, D1, Coatue, SIT	Q4 2025	HIGH	Global audio platform, price leadership	Network effects, brand moat
V	Portfolio	N/A	HIGH	Payment rails, buybacks, global reach	Global scale, network moat
TSM	Appaloosa, Coatue, SIT	Q4 2025	HIGH	Indispensable AI foundry; 3-year backlog	Technology/process moat
BRK.B	Portfolio	N/A	HIGH	Buffett permanent capital, insurance	Insurance capacity allocation

**AMZN

Notes:

- AMZN is the only 5-manager overlap in the portfolio - the gold-standard conviction signal.
- TSM appears in the latest Q2 13F filings from Tepper (6 consecutive quarters of buying), Coatue, and SIT - foundational AI infrastructure.
- V and BRK.B are defensive quality compounders that reduce portfolio volatility.

3. Tier 2: Growth Compounders (20% target)

Asset	Manager(s)	Entry Date	Conviction	Growth Rate	Path to Profit
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CEG	Point72, Coatue, SIT	Q4 2025	HIGH	AI power demand backlog	Data-center power contracts
GEV	Point72, Coatue, SIT	Q4 2025	HIGH	Grid/AI infrastructure growth	ICE spin-off, power equipment
VRT	Coatue, Point72	Q4 2025	MEDIUM-HIGH	Data center cooling/power	AI infrastructure buildout
AMD	Coatue, Point72	Q4 2025	MEDIUM	AI chip demand	Data-center GPU ramp
MU	Point72, Appaloosa, SIT	Q4 2025	MEDIUM	AI memory demand	HBM3E cycle, but cyclical

**NFLX

****Notes:****

- ****AI Power Infrastructure cluster (CEG, GEV, VRT)**** is the strongest non-Mag7 thematic conviction across Coatue, Point72, and SIT.
- ****MU**** received a downgrade in conviction from HIGH to MEDIUM this week. Tepper trimmed 41% in Q2, and memory is cyclical - though Coatue and SIT added aggressively, the risk/reward has shifted as expectations have been priced in.
- ****AMD**** remains a hold but not a core; competition with NVDA/custom silicon keeps it in Tier 2.

4. Tier 3: Inflation Hedges (10% target)

Asset	Type	Hedge Mechanism	Conviction
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CEG / GEV / VRT	AI energy infrastructure	Real assets, supply-constrained power	HIGH
Energy / Commodity exposure (via Vortex Energy Leases)	Oil and gas infrastructure	Weak dollar / supply shock hedge	MEDIUM
REITs (selective, small)	Real estate	Rate-sensitive; watch Warsh transition	LOW-MEDIUM

****BRK.B******Notes:****

- The best inflation hedge in the current book is ****AI power infrastructure**** - it combines real-asset supply constraints with a structural demand boom.
- Treasury buybacks lowered long-term rates, making REITs and rate-sensitive real assets slightly less attractive near-term unless the trend continues.
- Energy/geopolitical risk (Iran, diesel prices) supports maintaining a small energy hedge.

5. Cut List - What to Avoid**Permanent Avoid**

- ****Bitcoin miners (CLSK, CORZ, RIOT, WULF, HUT, CIFS):**** No top-tier multi-manager support, high short interest, dilutive capital raises, narrative-driven. Treat as speculation only - never Tier 1/2.
- ****WOLF / KSS:**** Failed patterns - high short interest without fundamentals is a trap.

Tactical Avoid (until conditions change)

- ****NVDA:**** Valuation stretched after a large run. No new money until a -20% correction or clearer FCF normalization.
- ****TSLA:**** Margin compression, FCF negative, narrative-driven; avoid as long-term hold.
- ****MU for new money:**** Existing position can be held, but avoid adding at current cyclical expectations.
- ****INTC:**** Downgraded to REVIEW/TRIM. Tepper exit + heavy dilution from \$15B raise + government stake uncertainty. Only Point72 overlap remains.

Portfolio-Isolated Risk

- ****BE (Bloom Energy):**** Only SIT call exposure; litigation headline risk dominates recent news. Hold only if thesis intact; no new money.
- ****CORZ:**** CoreWeave merger failed; strategic path unclear. SIT overlap exists but position is speculative.

6. Strategy Playbook Update**Active: Multi-Manager Conviction**

- ****Trigger:**** 3+ top-tier managers increasing same position for 2+ quarters.
- ****Current Active:**** AMZN, GOOGL, SPOT, TSM, CEG, GEV, NFLX.
- ****Success rate tracking:**** High - these names have held through recent volatility.

Active: AI Power Infrastructure

- **Trigger:** Coatue + SIT + Point72 accumulating power/grid/data-center names.
- **Current Active:** CEG, GEV, VRT.
- **Hold time:** 3-5 years (infrastructure cycle).

Active: Tepper Exit Reversal Warning

- **Trigger:** Appaloosa exits a previously multi-manager-supported position.
- **Current Flag:** INTC.
- **Action:** Tighten stops / reduce size.

Warning: Bitcoin Miner "AI Pivot"

- **Status:** Failed as long-term thesis. No earnings proof of transition.
- **Action:** Keep in Tier 3/speculation only; do not increase.

New Observation: CAPE Extreme + Treasury Buyback Regime

- **Pattern:** CAPE >40 + fiscal dominance + geopolitical risk premium creates a "rich but fragile" market.
- **Implication:** Favor quality compounders with pricing power; avoid valuation-sensitive growth; maintain cash buffer.

7. Memory Update - What Changed This Week**Updated Conviction Levels**

Ticker	Old Conviction	New Conviction	Reason
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TSM	HIGH	HIGH	Confirmed 3-whale support in Q2 13F filings
CEG/GEV	HIGH	HIGH	Continued AI power infrastructure buildout narrative

MU**New Pattern Recognition**

- **Treasury Buyback / Rate Relief:** Short-term bullish for rate-sensitive equities (tech, growth, REITs), but long-term bearish if it signals debt-management stress. Neutral for Tier 1 compounders.
- **Iran Energy Risk Premium:** Supports energy hedge and AI power infrastructure (data-center power demand) but creates headline volatility.

Performance vs Inflation

Period	CPI	Portfolio Return	Real Return	Notes
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2026-08

Goal remains: >7% real return annually. Current allocation is defensively positioned for a low-return, high-volatility regime.

Lessons Reinforced

1. **Multi-manager overlap is the strongest signal** - AMZN (5 managers) is the anchor.

2. **S****8. Action Items**

1. **HOLD** all Tier 1 names (AMZN, GOOGL, SPOT, V, TSM, BRK.B).

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